Trade Your Way to Financial Freedom (Tharp) — Fill-in-the-Blank Quiz — ANSWER KEY

Name: _____ Date: _____ Score: ____ / 30 questions (one underline = one missing word or short phrase)

Chapter 1 – The Legend of the Holy Grail

1. Tharp's three keys to success are **exits**, **position sizing**, and discipline.

2. In Fig. 1-1 the usual pie gives psychology about **60** percent, position sizing **30** percent, and system development **10** percent.

3. Ed Seykota's late-1970s college course spent **8** of its **10** weeks getting people to accept **losses**.

Chapter 2 – Judgmental Biases

4. The **lotto** bias is the illusion of control; the odds of winning a lottery are about 1 in **13** million.

5. In Ralph Vince's game, only **2** of 40 Ph.D.s made money; betting **20** percent of equity would have grown $1,000 to about $**7,490**.

Chapter 3 – Setting Objectives

6. Jack Schwager calls Tom Basso Mr. **Serenity**; Basso expects a worst-case drawdown of **25** percent.

7. Tharp says to spend at least **50** percent of system-development time on your **objectives**.

Chapter 4 – The 12 Steps

8. Step 5 collects at least **50** to **100** sample market moves; step **10** optimizes with position sizing.

9. In the Step 9 live cattle example the system was right **1** time in **4**, yet the net gain was over **three** times the total losses.

Chapter 5 – Trading Concepts

10. Basso says markets trend only **15** to **25** percent of the time, yet trend following never misses the **major** move.

11. In Kevin Thomas's **butterfly** spread you are long 1 Sep 1996, short **2** Dec 1996, and long 1 Mar 1997.

12. Ray Kelly's arbitrage averaged **40** to **60** percent returns from 1987 to early 1994 with only **one** losing month.

Chapter 6 – Expectancy and R Multiples

13. The first four of the six keys make up **expectancy**; the last two make up **position sizing**.

14. In marble game 1 (60 blue, 40 black) expectancy is **20** cents; game 2 wins only **36** percent of the time but has an expectancy of **78** cents.

15. A system that is right 90 percent of the time, with average win $275 and average loss $2,700, has an expectation of **-22.5**.

16. In Fig. 6-1 the entry was at 2,511 with a stop of **104** points (3 x ATR); the 558-point profit was a **5.37** R multiple.

Chapter 7 – Setups

17. A setup is about **10** percent (or less) of a system; the four phases of entry are market selection, market direction, setups, and market **timing**.

18. CANSLIM: C needs current earnings up **70** percent, A needs about **24** percent compounded over 5 years, and L needs a rating above **80**.

19. Kaufman's efficiency ratio runs from 1 (no **noise**) to 0; Tharp suggests requiring a value above **0.6** before taking an entry.

20. The Foolish Four puts **40** percent in the **second** best-yielding Dow stock and 20 percent in each of the next three.

Chapter 8 – Entry

21. The random-entry system used a stop of **three** times volatility, a **1** percent risk model, and had reliability of **38** percent.

22. The Turtles first entered on **20**-day breakouts, later moving up to **40**-day breakouts.

Chapter 9 – Protective Stops

23. In the pound study, **3** of 24 winning trades had a maximum adverse excursion above 1 ATR; the mean for losing trades was **1.44** ATR.

24. A noise stop is a 10-day average of the ATR times a constant between **2.7** and **3.4**; the dev-stop was coined by Cynthia **Kase**.

Chapters 10–11 – Exits, Opportunity and Cost

25. Scaling out of a multi-unit position is called reverse **position sizing**: you hold the biggest size when taking your biggest **losses**.

26. Trader 1 (long-term, big R) wins **18** percent of trades with an average gain about **23** times the average loss, for an expectancy of $**3.32** per dollar risked.

Chapters 12–13 – Position Sizing and Conclusion

27. **Martingale** strategies raise bet size after losses; **anti-martingale** strategies raise it as equity grows, and only the latter work.

28. A **50** percent drawdown needs a 100 percent gain to recover; a 75 percent drawdown needs a **300** percent gain.

29. In the Dow-30 test the 100-share baseline made $**32,567**, while the 0.5 percent volatility model made $**2,109,266**.

30. Tharp's daily debriefing asks one question: Did I follow my **rules**? Beyond that, you cannot trade the markets, only your **beliefs** about them.